

OCEAN BLUE EXPRESS, INC.	)	
	)	
Complainant,	)	
	)	
	)	
v.	)	
	)	
MAERSK A/S and MAERSK AGENCY	)	
U.S.A., INC.,	)	DOCKET NO. 2075(I)
	)	
Respondents.	)	
	)	

MAERSK A/S and MAERSK AGENCY U.S.A., INC. **DO NOT** authorize the Small Claims Officer to determine the above-numbered claim in accordance with subpart S (46 CFR 502) of the Commission's informal procedure for adjudication of small claims subject to discretionary Commission Review.

Respondents MAERSK A/S and MAERSK AGENCY U.S.A., INC. (“MAERSK”) pursuant to 46 C.F.R. 502.69 and 502.70, move to dismiss with prejudice the Complaint filed by OCEANBLUE EXPRESS (“OCEAN”).

Further, MAERSK's liability is limited to \$500.00 under the terms of the

for the Second Circuit held in *Stolt Tank Containers, Inc. v. Evergreen Marine Corp.*, 962 F.2d 276 (2nd Cir. 1992) that an ocean carrier's liability was limited to \$500.00 under the carrier's bill of lading terms and COGSA.

To avoid the same fate as the plaintiff in *Stolt*, OCEAN tries to plead a Shipping Act violation under 46 U.S.C. § 41102(c). If the Commission accepts OCEAN's Complaint, then every shipper will seek cargo claim damages from the Commission instead of filing such claims in courts where they belong. Regardless, the Complaint fails to establish a cause of action under 46 U.S.C. § 41102(c), and even if it did, OCEAN should not be allowed to circumvent COGSA's \$500.00 limitation of liability provision.

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STATEMENT OF MATERIAL FACTS

OCEAN filed the Complaint on August 20, 2026 alleging violations of the Shipping Act and specifically, 46 U.S.C. § 41102(c). OCEAN contends that it tendered a shipper-owned (SOC) Tank No. DKOU2503267 to MAERSK which sustained structural damage during terminal operations in preparation for loading onto the Vessel. According to the Complaint, MAERSK subsequently advised OCEAN that the subject Tank had to be removed from the terminal and repaired before it could be shipped. OCEAN alleges that it incurred \$21,278.42 in mitigation and repair expenses. OCEAN alleges that MAERSK arbitrarily and persistently refused to indemnify OCEAN and invoked MAERSK's Bill of Lading \$500.00 per Package or customary freight unit limitation of liability.

The subject Bill of Lading (Exhibit "A" to Complaint) describes the cargo as follows:

3 containers said to contain 3 TANKS

BULK UNPACK LOADED INTO
3 20FT ISOTANK
DANGEROUS LIQUIDS

The relevant Bill of Lading terms (Exhibit "1" hereto and available at [Terms for Carriage | Maersk Terms](#)) are as follows

1. Definitions

"Container" includes any container (including an open top container), flat rack, platform, trailer, transportable tank, pallet or any other similar article used to consolidate the Goods and any connected equipment.

"Goods" means the whole or any part of the cargo and any packaging accepted from the Shipper and *includes any Container not supplied by or on behalf of the Carrier.*

5. Carrier's Responsibility: Ocean Transport

5.3 *Where US COGSA applies* then the provisions stated in *the said Act shall govern* during Carriage to or from a container yard or container freight station *at the Port of Loading before loading on the vessel* or at the Port of Discharge before delivery to an inland carrier.

7. Compensation and Liability Provisions

7.1 Subject always to the Carrier's right to limit liability as provided for herein, if the Carrier is liable for compensation in respect of loss of or damage to the Goods...

7.2 Save as is provided in clause 7.3:

(b) for shipments to or from the U.S., *the liability of the Carrier and/or Vessel shall not exceed USD 500 per Package or customary freight unit*, or any lesser limitation afforded per Clause 6.2. (emphasis added).

By email, dated August 10, 2026, Ms. Yuri Mayorga advised OCEAN (Exhibit "E" to Complaint, and attached as Exhibit "2" hereto) that the terms governing the acceptance and carriage of SOC containers provide as follows:

In respect of any loss or damage to the SOC for which carrier may be found or held liable under its ocean Bill of Lading, *it is hereby agreed that the SOC is deemed to form part of the cargo description in the relevant Carrier's bill of lading* or other transport document, and *accordingly any such liability will be subject to the same defenses, exemptions, exclusions, and limitations of liability as applied to the cargo itself* (emphasis added).

STANDARD OF REVIEW

A party may file a dispositive motion anytime "[a]fter the assignment of a presiding officer to a proceeding and before the issuance of his or her recommended or initial decision..."

46 C.F.R. 502.69(a). A motion must "state clearly and concisely the purpose of and the

relief sought by the motion, the statutory and principal authority relied upon, and the facts claimed to constitute the grounds supporting the relief requested." Id. at 502.69(e).

A "dispositive motion means a motion for decision on the pleadings; motion for summary decision or partial summary decision; motion to dismiss all or part of a proceeding or party to a proceeding; motion for involuntary dismissal; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding." Id. at 502.69(g). A dispositive motion must "include a concise statement of the legal basis of the motion with citation to legal authority and a statement of material facts with exhibits as appropriate." Id at 502.70.

ARGUMENTS

A. THE FMC HAS NO JURISDICTION OVER THIS MATTER.

1. The Subject Claim is for Breach of Contract.

The Commission does not have subject matter jurisdiction over OCEAN's claim as it is a garden variety breach of contract claim. Here, the gravamen of OCEAN's claim is that the parties entered into a Bill of Lading contract under which MAERSK agreed to transport the subject SOC from Houston Texas to Busan, South Korea; but that MAERSK damaged the SOC, causing OCEAN to retrieve the SOC and incur mitigation and repair expenses. OCEAN's contention that MAERSK "arbitrarily and persistently refused to indemnify it for these direct mitigation costs, improperly invoking a bill of lading package limitation" is nothing but an argument that the Bill of Lading's liability limitation is not enforceable. Such claims are routinely decided by federal and state courts. *Stolt, supra*. Instead of filing suit in a court of law, OCEAN has chosen to file its breach of contract claim with the FMC disguised as a Shipping Act violation.

Congress has seen fit to remove from the FMC's jurisdiction the adjudication of claims for breach of contract. Instead, Congress placed that authority in the courts, stating: "[u]nless the parties agree otherwise, the exclusive remedy for breach of a service contract is an action in an appropriate court." 46 U.S.C. § 40502(f). *Cargo One, Inc. v. COSCO Container Lines, Co.*, Docket No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31 2000); *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 33 S.R.R. 512, 2014 FMC LEXIS 11, *49, 2014 WL 5316345 (ALJ April 17, 2014) ["whether Hapag-Lloyd breached its duty to reduce the rates, do not "involve elements peculiar to the Shipping Act,... but are inherently contract claims'"].

In *Cargo One v. COSCO*, the Commission provided guidance in assessing which matters are properly before the FMC and which are beyond the FMC's jurisdiction and should be brought before a court:

We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. ***We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.*** In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency (emphasis added).
Cargo One, 2000 WL 1648961 at 14 (footnote omitted)(emphasis added).

Under the Commission's *Cargo One* test, simply pleading facts in a complaint that support a breach of contract claim is insufficient to support a claim for violation of the Shipping Act before the FMC. Instead, for a complainant to plead a cognizable claim for violation of the Shipping Act before the FMC, the complainant must plead facts that "raise issues beyond contractual

obligations” and involve “elements peculiar to the Shipping Act”. *Id.* Absent such factual allegations, the claims are outside of the FMC’s subject matter jurisdiction.

OCEAN fails to meet its burden of pleading sufficient facts to support “elements peculiar to the Shipping Act” separate and distinct from its breach of contract claim. The Complaint must be dismissed.

2. OCEAN’s Claim is Governed by COGSA.

In *Waterman Steamship Corp. v. General Foundries Inc.*, 1993 FMC LEXIS 73, *46 (1993), the ALJ explained that the FMC has no jurisdiction over COGSA claims.

Loss or damage claims lie within the jurisdiction of the courts, usually the admiralty courts but possibly state courts as well. Cases involving the rights and liabilities of carriers and shippers as regards loss or damage to cargo are usually determined under the Carriage of Goods by Sea Act (COGSA), 46 U.S.C. app. secs. 1300-1315, or the Harter Act, 46 U.S.C. app. secs. 190-196...These are statutes which the Commission does not administer. See Overseas Freight and Terminal Corporation--Extra Charges, 8 F.M.C. 435, 450 (1965) ("The Commission does not decide admiralty cases and it will not do so here."); Definition of "Package"; 23 SRR 111, 113 (1985) (COGSA is not a statute which the Commission may administer; Commission's jurisdiction extends only to matters not within the scope of COGSA)...(emphasis added).

OCEAN seeks recovery for alleged damages to a SOC that occurred during terminal operations in preparation for loading onto the vessel. Under the subject Bill of Lading terms, “Goods” includes “Containers” and the Bill of Lading extended COGSA “during Carriage to or from a container yard or container freight station *at the Port of Loading before loading on the vessel.*” In *Norfolk Southern Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 29 (2004) the Supreme Court held COGSA applies from the time when the goods are loaded on to ship to the time until they are discharged, but the parties may extend its application to a

period “*prior to the loading on and subsequent to the discharge from the ship*” (emphasis added).

OCEAN’s claim is governed by COGSA. The FMC has no jurisdiction over the claim.

**B. MAERSK’S LIABILITY IS LIMITED TO
\$500.00 UNDER THE BILL OF LADING**

In *Stolt Tank Containers, Inc. v. Evergreen Marine Corp.*, 962 F.2d 276 (2nd Cir. 1992), the plaintiff Stolt sued Evergreen for damage to five (5) containers used to ship chemicals from St Louis to Japan. *Id.* at 277-278. Evergreen argued that its liability was limited by the \$500.00 per package liability cap imposed by COGSA and the Bills of Lading governing the shipments. *Id.* at 278. The Bill of Lading defined “goods” to mean “the cargo accepted from the merchant and includes any *container* supplied by on behalf of the carrier or by the merchant.” *Id.* Moreover, the Bill of Lading recited that COGSA applied to the shipment and limited carrier liability to \$500.00 per package. *Id.*

Stolt argued that the \$500.00 per package limitation of liability did not apply because its containers did not constitute “goods” or “packages.” *Id.* at 280. The Second Circuit rejected plaintiff’s argument and held that Stolt’s containers were packages under COGSA:

Here, Evergreen received five containers holding liquid chemicals that could not have been shipped overseas without some sort of container. The chemicals were not stored in smaller units or drums within each container and cannot “reasonably be considered COGSA packages.” Were we to accept Stolt’s position, COGSA would not apply at all, as no packages would exist: the containers were a necessary component of the packages of liquid chemical delivered to Evergreen. *The common sense definition of the packages delivered to Evergreen included the containers.* Moreover, inapplicability in cases such as this would frustrate COGSA’s purpose of creating predictable liability for carriers. *Therefore, we conclude that each container and its contents constituted a COGSA package* (emphasis added) *Id.* at 280.

The holding in *Stolt* is dispositive here because the facts are virtually identical. The Bill of Lading

(Exhibit "1" to Complaint) describes the cargo as "3 TANKS:"

3 containers said to contain 3 TANKS

BULK UNPACK LOADED INTO
3 20FT ISOTANK
DANGEROUS LIQUIDS

Like the chemicals in *Stolt*, the "dangerous" liquids in the subject Tanks were not shipping packages. The Bill of Lading (Exhibit "A" hereto) definition of "Goods" includes containers. Finally, the Bill of Lading (Exhibit "A") clearly states that COGSA applies to all damage to "Goods" including the period prior to loading of the "Goods" onto the ship. MAERSK's liability should be limited to \$500.00 with respect to the Tank at issue.

**C. OCEAN CANNOT ESTABLISH A VIOLATION
OF 46 U.S.C. SECTION 41102 (c).**

The Shipping Act, at 46 U.S.C. § 41102(c), provides as follows:

(c) Practices in Handling Property. A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

The Second Circuit's holding in *Stolt* is dispositive. A finding by the Commission that MAERSK "fail[ed] to establish, observe, and enforce just and reasonable regulations and practices" would be entirely inconsistent with the *Stolt* holding that an ocean carrier may limit its liability for damage to a container to \$500.00.

The Complaint fails to state a claim against MAERSK for violation of Section 41102(c). The Code of Federal Regulations provides guidance on the elements that must be proven to prevail on a claim for reparations under 46 U.S.C. § 41102(c) as follows:

§ 545.4 Interpretation of Shipping Act of 1984 - Unjust and unreasonable practices.

46 U.S.C. 41102(c) is interpreted to require the following elements

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and The practice or regulation is the proximate cause of the claimed loss.
- (e) Thus, in order to assert a cognizable claim for which relief may be granted under 46 U.S.C. § 41102(c) of the Shipping Act, Complainant must make sufficient factual allegations

46 C.F.R. § 545.4.

To assert a cognizable claim for relief under 46 U.S.C. § 41102(c), OCEAN must make sufficient factual allegations which, if taken as true, establish each of the elements set forth in 46 C.F.R. § 545.4 above. OCEAN fails to make sufficient factual allegations to meet its burden. First, the Complaint fails to identify what MAERSK practices or regulations (other than the MAERSK's alleged breach of contract) are said to be unfair or unjust. Without identifying an improper practice (other than an alleged breach of contract) OCEAN fails to state a cognizable claim under Sec. 41102(c).

Second, the Complaint fails to allege fact supporting the requirement that the "claimed acts or omissions of the regulated entity are occurring on a *normal, customary and continuous basis*." 46 C.F.R. 545.4(b)(emphasis added). The Complaint alleges that MAERSK failed to indemnify OCEAN for claimed mitigation and repair expenses to *one* SOC Tank in a single shipment. There is no allegation of any misconduct occurring on a normal, customary and continuous basis. The Complaint does not even allege that the acts or omissions complained of occur on a continuous

basis, and, there are no factual allegations supporting a conclusion that the alleged acts or omissions at issue of “are occurring on a . . . continuous basis.” 46 C.F.R. § 545.4(b).

Third, the Complaint fails to make any factual allegations supporting the required element that “the practice or regulation is unjust or unreasonable.” 46 C.F.R. 545.4(d). OCEAN merely offers a conclusory statement on this element. As stated above, the *Stolt* holding precludes such a finding.

As Administrative Law Judge Crovella noted, “[a] pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) [quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007)]. *Rahal Int’l Inc.*, Docket # 23-05 (FMC December 6, 2023) at page 4. OCEAN’s conclusory allegations are insufficient to support the essential pleading element required to maintain a claim under 46 U.S.C. § 41102(c). “A claim has facial plausibility when the pleaded factual content allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009) (citing *Twombly*, 550 U.S. at 556). 2023 FMC LEXIS 559, *5

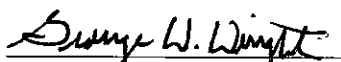
Based on the foregoing, the Complaint fails to allege facts supporting all the elements required to maintain a claim under 46 U.S.C. § 41102(c). Accordingly, the Complaint should be dismissed for failure to state a claim on which relief may be granted pursuant to Fed. R. Civ. P. 12(b)(6).

CONCLUSION

MAERSK respectfully requests that the Commission dismiss the Complaint against MAERSK with prejudice. In the alternative, MAERSK's liability should be limited to a maximum of \$500.00.

Dated: September 22, 2026

Respectfully submitted,



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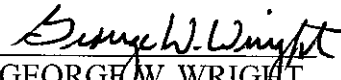
CERTIFICATION OF SERVICE

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by:

1. Emailing a copy to Saeyong Yu (Gilbert), Ocean Blue Express Head of Lead Dept., at its email at saeyong.yu@oceanblueexp.com; and

2. Overnight mail to Sung Ho Sun, Ocean Blue Express CEO, at 255 W. Victoria St., Compton, California 90220.

Dated at Hackensack, New Jersey this 22nd day of September, 2026.


GEORGE W. WRIGHT